Chipotle Mexican Grill, Inc. (CMG)

Equity Research Note

Luke Yin June 2026

Rating: Buy **Price target: $38** **Current price: $30.54** **Upside: 24%**

Summary

Chipotle owns and runs all of its restaurants, earns about 21% return on invested capital, and has grown revenue at a double-digit rate for years. The stock has fallen about 42% in the past year after traffic slowed and 2025 same-store sales fell 1.7%. It now trades near 19x EV/EBITDA and 26x forward earnings, below most fast-casual peers and below its own ten-year average. I think that is too cheap. Average unit volumes are still around $3.1 million, and the store base can roughly double over time. As traffic recovers, margins rebuild toward 27%, and the store count grows toward the company's 7,000-store goal, I value the shares at about $38, or 24% above today's price.

Snapshot and valuation

Company snapshot

Price (Jun 22, 2026)	$30.54
52-week change	(42%)
Market capitalization	$39.2B
Enterprise value	$43.6B
Diluted shares	1.28B
FY2025 revenue	$11.9B (+5.4%)
FY2025 diluted EPS	$1.14
EV / EBITDA (LTM)	18.9x
Forward P/E	25.6x
Restaurants (company-run)	4,042
Restaurant-level margin	25.4%
ROIC / funded debt	21% / none

Valuation

DCF (Gordon growth)	$26
DCF (exit multiple)	$45
DCF (average)	$36
Comps (EV/EBITDA, 21.5x)	$40
Comps (forward P/E)	$40
Blended target	**$38**
Analyst consensus	$42.88
Bear / Base / Bull	$26 / $38 / $45

I value Chipotle two ways. A discounted cash flow (9.4% discount rate, 3% long-term growth) gives $26 to $45 depending on the terminal value, with a midpoint near $36. Peer multiples (21.5x EV/EBITDA and 30x forward P/E) point to about $40. Weighting the two gives the $38 target; the average Wall Street target is $42.88. Leases are treated as operating costs, so net debt excludes lease liabilities.

Catalysts

- Same-store sales turn positive again.
- Faster openings, mostly Chipotlanes.
- New kitchen technology lifts throughput.
- Buybacks plus international upside.

Risks

- Traffic stays soft if demand weakens.
- Food, labor and tariff cost pressure.
- Not cheap at 26x forward earnings.
- Fast growth can hurt nearby stores.

Recommendation

I rate Chipotle a Buy with a $38 target, about 24% above the current price. The downside case is near $26 and the upside case near $45, so the risk and reward look favorable here.